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Exceptions to verifying a customer before providing a designated service

There are circumstances when you may provide a designated service without carrying out the complete applicable customer identification procedures (ACIP).

Exceptions under the AML/CTF Act

You are not required to carry out the complete ACIP for a customer if you have previously done so, for example when providing another designated service.

However, if the money laundering and terrorism financing risks associated with providing a new or additional designated service to a customer is higher, you may need to obtain further information and undertake additional verification to ensure you comply with the risk-based systems and controls outlined in Part B of your AML/CTF program.

There are also exceptions when:

- there are special circumstances that justify carrying out the ACIP after the commencement of the provision of a designated service (section 33 of the AML/CTF Act)
- identification procedures for certain pre-commencement customers (section 28 of the AML/CTF Act) or identification procedures for certain low-risk services (section 30 of the AML/CTF Act), apply to the provision of the designated service.

Exemptions under the AML/CTF Rules

Delaying finalisation of ACIP

ACIP may be delayed for securities transactions on an Australian stock exchange in specific circumstances. See paragraph 46.2 of the AML/CTF Rules.

Financial institutions can carry out ACIP after commencing to open an account in certain circumstances under Chapter 79 of the AML/CTF Rules. For more information read Carrying out applicable customer identification after commencing to open a bank account.

> ### Online gaming service providers
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> Chapter 82 of the AML/CTF Rules previously provided that online gambling service providers could carry out ACIP after opening an online gambling account in special circumstances.
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> Chapter 82 was repealed on 29 September 2024. Following this repeal, all online gaming service providers must carry out ACIP before creating an online gambling account.

Exemptions from other customer identification requirements

Pre-commencement customers

Pre-commencement customers are customers who received a designated service before 12 December 2007, when identification procedures became mandatory.

You are not required to identify and verify these pre-commencement customers for any new or existing designated services that you provide them. These customers are, however, subject to ongoing customer due diligence (OCDD) requirements, including transaction monitoring and enhanced customer due diligence, which may include collecting KYC information and verifying in accordance with your risk-based systems and controls.

If a suspicious matter reporting obligation arises for a pre-commencement customer, you must take one or more of the following actions as soon as practicable so you can be reasonably satisfied the customer is the person they claim to be.

- Complete ACIP for the customer, unless you have previously carried out the procedure or a comparable procedure for the customer.
- Collect any other relevant customer information about the customer.
- Verify any customer information obtained with a reliable and independent source.

> The AML/CTF Act and Rules does not modify the character of a pre-commencement customer to a general customer. Therefore a pre-commencement customer remains a pre-commencement customer throughout the life of your relationship with the customer.

Low-risk designated services

The AML/CTF Rules can specify a designated service as 'low risk'. In this case, you are not required to carry out the ACIP when providing that service unless a suspicious matter reporting obligation under section 41 of the AML/CTF Act arises for the customer.

There are no designated services currently specified as low risk.

Exemptions from certain customer identification requirements

There are further exemptions from certain customer identification requirements in accordance with the AML/CTF Act and Rules. Refer to the following table for more details.

AML/CTF Rules Chapter	Title of Chapter
Chapter 10	Certain transactions and activities applicable to gambling services – casinos, on course bookmakers, Totalisator agency boards and gaming machines.
Chapter 14	Thresholds for certain designated services: • issuing a cheque (item 17, table 1, section 6 of the AML/CTF Act) • cashing or redeeming a travellers cheque (items 25 or 26, table 1, section 6 of the AML/CTF Act) • exchanging one currency for another (item 50, table 1 or item 14, table 3, section 6 of the AML/CTF Act).
Chapter 28	Exemption from applicable customer identification procedures in certain circumstances - assignment, conveyance, sale or transfer of a business.
Chapter 33	Exemption from applicable customer identification procedures for the purchase and sale of bullion valued at less than $5,000.
Chapter 35	Exemption from applicable customer identification procedures for correspondent banking relationships.
Chapter 38	Exemption from applicable customer identification procedures for the sale of shares for charitable purposes.

Chapter 39	Exemption from applicable customer identification procedures - premium funding loans for a general insurance policy.
Chapter 41	Exempts trustees of a superannuation fund from carrying out the applicable customer identification requirements where the balance of the customer's account balance is not greater than $1,000.
Chapter 45	Exempts Debt Collectors from all obligations under the AML/CTF Act including ACIP, other than suspicious matter reporting.
Chapter 49	Exempts reporting entities that are executing brokers from the applicable customer identification procedure (ACIP) of the AML/CTF Act, if they provide the item 33 designated service (as an agent, acquiring or disposing of a security or derivative or a foreign exchange contract).
Chapter 50	Exemption from applicable customer identification procedures in certain circumstances: • for a member of a DBG where another member of the group treats the same customers as pre-commencement customers • for a member of a DBG where the same customers are pre-commencement customers of another member of the group.

Chapter 52	Exempts licensed gaming machine operators with 15 gaming machines or less from all obligations including ACIP, other than suspicious matter reporting.
Chapter 66	Exempts applicable customer identification procedures in certain circumstances - compulsory partial or total transfer of business made under the *Financial Sector (Business Transfer and Group Restructure) Act 1999.*
Chapter 67	Provides an exemption from the applicable customer identification procedure in regard to 'warrants'. A warrant is a financial instrument issued by banks and other institutions and traded on the Australian Stock Exchange.
Chapter 74	Exempts licensed trustees Division 4 of Part 2 of the AML/CTF Act, including ACIP, in certain circumstances.

Related pages

Customer identification and verification

Related legislation

- Sections 32, 33 and 34 of the AML/CTF Act

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